

EABL Plc: 1H22 Earnings Note

EABL announced a **130.43%** y/y increase in net earnings to **KES 8.73Bn** higher than our projected 13.37% y/y increase on the back of economic recovery following the lifting of gathering restrictions. EPS was above our expectations, growing 211.81% to **KES 8.45** as the company recorded its highest profits in 5 years. The positive results saw a return to dividend payment with an interim dividend of **KES 3.75** after the dividend drought during the pandemic period as the company preserved cash.

- **Strong Brand and Innovation drive revenue growth:** EABL's revenue grew 23.48% to **KES 54.90Bn** largely driven by investments across various brands coupled with innovations in response to behavior shifts by consumers. Growth in alcohol consumption was reflected in the 45% growth in frontier drinks such as senator keg. Revenue from mainstream spirits and beer also expanded by 25% and 17% , respectively. However, the cost of sales increased 13.14% to **KES 28.43Bn** with OPEX also growing albeit marginally by 0.70% to **KES 13.59Bn**.

- **Regional subsidiaries catching up to Kenya:** Growth in the subsidiaries was fairly distributed with sales in Kenya expanding 27% y/y driven by growth in Senator Keg, mainstream spirits and beer consumption. Tanzania grew15% driven by brands such as Serengeti beer while Uganda grew 18%. Notably, growth in Kenya was higher than that in Uganda and Tanzania, thereby reversing a trend that has seen Kenya's contribution to overall revenue reduce. Tanzania's contribution to revenue currently stands at 15% from 11% in FY18 (15% in FY21), Uganda contributes 18% from 16% in FY18 while Kenya's contribution has declined to 68% from 72% in FY18 (66% in FY21).

- **Balance Sheet expansion supported by CAPEX:** On an y/y basis the balance sheet grew 13.52% to **KES 109.95Bn** on the back of a 23.41% growth in Current assets. However, Net borrowings declined 17.29% to **KES 40.7Bn** despite the company raising a **KES 11.00Bn** medium term note during the period. CAPEX grew 51% to **KES 6.2Bn** with majority of that been directed towards new plants in Tanzania and Uganda.

Outlook

Mainstream spirit and new frontiers such as Senator keg are expected to be key revenue drivers supported by beer and premium brands. Tanzania's and Ugandan's consistent and strong growth stood out; management is likely to increase CAPEX allocation. Regulatory risks across all subsidiaries continues to be a key source of concern and we expect tax increases in FY23. We expect the positive results to be carried to FY22.

28th January 2022

Current price: KES 161.00

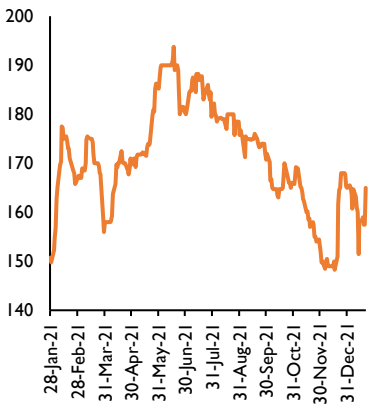
Target price: KES 205.21

Upside: 27.45%

52 Week High: KES 193.75

52 Week Low: KES 148.25

EABL Share Price



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Table 1 : Financial Statement Summary

Income Statement	31-Dec-20	30-Jun-21	31-Dec-21	y/y Change (%)
Net Revenues	44,460	85,962	54,899	23.48%
Cost of Sales	(25,127)	(48,548)	(28,429)	13.14%
Gross Profit	19,333	37,414	26,470	36.92%
Selling and Distribution Costs	(3,878)	(7,362)	(4,810)	24.03%
Administrative Expenses	(4,258)	(9,320)	(5,052)	18.65%
Other Costs	(5,361)	(9,874)	(3,730)	(30.42%)
Profit Before Tax	5,836	10,858	12,878	120.66%
Income Tax	(2,044)	(3,896)	(4,140)	102.54%
Profit after Tax	3,792	6,962	8,738	130.43%
EPS	2.71	5.51	8.45	211.81%
DPS	0.0	0.0	3.75	

Balance Sheet	31-Dec-20	30-Jun-21	31-Dec-21	y/y Change (%)
Total Equity	11,993	14,852	24,538	104.60%
Non-Current Liabilities	43,442	45,562	40,823	(6.03%)
Total Equity and Non Current Liabilities	55,435	60,414	65,361	17.91%
Non-Current Assets	65,337	66,024	71,054	8.75%
Current Assets	31,520	34,092	38,899	23.41%
Current Liabilities	41,422	39,702	44,592	7.65%
Net Assets	(9,902)	(5,610)	(5,693)	(42.51%)
	55,435	60,414	65,361	17.91%

Cashflow Statement	31-Dec-20	30-Jun-21	31-Dec-21	y/y Change (%)
Net Cash from Operating Activities	14,001	(1,522)	12,619	(9.87%)
Net Cash from Investing Activities	(8,995)	(5,581)	(6,334)	(29.58%)
Net Cash from Financing Activities	(3,719)	(3,678)	(3,688)	(0.83%)
Net Increase/ (decrease) in Cash	1,287	(10,781)	2,597	101.79%
At the Start of the Year	1,729	-	4,421	155.70%
Cash and Cash Equivalents for the period	2,531	(10,363)	7,213	184.99%

Key Ratios	31-Dec-20	30-Jun-21	31-Dec-21
Operating Profit Margin	13.13%	12.63%	23.46%
Return on Assets	3.92%	6.95%	7.95%
Return on Equity	31.62%	46.88%	35.61%
Current Ratio	0.76	0.86	0.87

Source: Company filings, AIB-AXYS



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